

Level 3's distressed bonds recently. I always enjoy reverse engineering Buffett's investments. I was intrigued and wanted to find out why Buffett would make an investment in an unpredictable, rapidly changing industry like broadband telecom, when he's usually looking for steady-state businesses like Coca-Cola and Gillette. Plus, he's repeatedly stated that he has no competency in high-tech businesses, and it was always an easy pass for him. So, if the rumors were true, why would Warren Buffett be nibbling at Level 3 bonds?

My research quickly brought the following facts to light.

Level 3 was founded by Peter Kiewit & Co. in Omaha. It had an IPO in early 1998 and the stock hit a high of \$130 per share at the peak of the Nasdaq frenzy in first quarter 2000—sporting a market cap of some \$46 billion. By 2002, the shares were 97 + percent off their highs. Level 3 had spent over \$10 billion building a state-of-the-art fiber-optic IP network around the country, Europe, and Asia, including high-speed trans-Atlantic fiber-optic links. This spending had been paid for by a combination of debt and equity. As a result, the company had about \$6 billion (face value) debt outstanding. It also had \$1.5 billion of cash and \$650 million of availability on its bank line of credit.

Here is the listing of Level 3's debt by seniority as of 12/31/01 (in thousands of dollars):

Bank debt	1,125,000
Mortgages	232,000
Secured Subtotal	1,357,000
2008 Sr. Notes 9.125 percent	1,430,000
2008 Sr. Notes 11 percent	442,000
2008 Sr. Notes 10.5 percent	583,000